NPTEL – Performance & Reward Management

180 Most-Probable Practice MCQs | Weeks 0–12 | Combined & Curated Edition

✔ Correct answer is highlighted in green for each question

WEEK 0 – INTRODUCTION TO PERFORMANCE & REWARD MANAGEMENT

Q1. Performance management aligns individual goals primarily with the _____ of an organization.

A. Personal development goals

✔ B. Strategic goals

C. Team KPIs

D. HR department targets

Q2. Which of the following statements about performance management frequency is TRUE?

A. It occurs once a year

✔ B. It is a continuous, year-round process

C. It happens only at appraisal time

D. It is conducted once every two years

Q3. The system of performance management is owned by _____, while performance appraisal is owned by _____.

A. HR Department, Line Managers

✔ B. Line Managers, HR Department

C. CEO, HR Department

D. Line Managers, Development Managers

Q4. Which item most directly provides the broad direction from which organizational goals and objectives are developed?

A. The annual attendance register

B. A list of individual salary increments

C. A ranking of current employees

✔ D. The vision and mission statements

Q5. Which practice best reflects the meaning of performance management?

A. Ranking employees without discussing expected outcomes

B. Holding one meeting to decide bonuses

✔ **C. Continuously planning, supporting, monitoring, and improving performance**

D. Recording mistakes only after the year ends

Q6. In modern organizations, rewards can ONLY be monetary. This statement is:

A. True

✔ **B. False**

C. True only for private sector

D. True only for government employees

Q7. During appraisal, a supervisor gives an employee an unusually high rating because their first meeting months earlier went exceptionally well. Which error is most likely?

A. Contrast error

✔ **B. Primacy error**

C. Central-tendency error

D. Recency error

Q8. Benefits provided to employees OVER AND ABOVE their salaries are called _____ benefits.

A. Non-fringe

B. Add-on

✔ **C. Fringe**

D. Variable

Q9. Why should performance management and reward management be designed together?

✔ **A. To ensure rewards reinforce valued performance and strategic priorities**

B. To prevent managers from giving feedback

C. To make each department use unrelated goals

D. To remove all non-financial rewards

Q10. The _____ is designed for people who do not have the benefit of a pension after retirement.

✔ **A. New Pension Scheme (NPS)**

B. Modified Pension Scheme

C. Employees' Pension Scheme

D. JAL Yojana

Q11. Which objective is strongest for evaluating whether an employee has improved customer response time?

✔ **A. Reduce average first-response time from 12 hours to 6 hours by the end of the quarter**

B. Become better at customer service

C. Try to respond faster whenever possible

D. Focus more on customers

Q12. A department achieves its individual targets, but those targets do not support the company's stated expansion priority. What is the central weakness?

✔ **A. Poor alignment between goals and strategy**

B. Overuse of contextual performance

C. Excessive transparency

D. Too much employee development

Q13. Which of the following is a MISQUOTED objective of Performance Management?

A. Managing and improving performance

✔ **B. Motivating and rewarding but NOT empowering employees**

C. Ensuring employees do the right things rightly

D. Judicious use of resources

Q14. Which component is NOT typically part of an organization's strategic plan?

A. Mission statement

B. Long-term goals

✔ **C. Employee personal hobbies**

D. Vision statement

WEEK 1 – THE PERFORMANCE-MANAGEMENT PROCESS

Q15. At the start of the cycle, a manager and employee agree on expected outcomes, standards, skills, and support needed. Which stage is this?

A. Performance review

B. Performance renewal

C. Performance execution

✔ **D. Performance planning**

Q16. During the quarter, an employee works toward agreed objectives, coordinates with colleagues, and records progress. Which stage is most directly represented?

A. Performance renewal

B. Job evaluation

✔ **C. Performance execution**

D. Performance planning

Q17. A manager notices a project slipping and discusses corrective steps with the employee before the deadline. Which practice is most evident?

A. External benchmarking

✔ **B. Continuous feedback and coaching**

C. Red-circling

D. Forced distribution

Q18. Which sequence best represents the performance management cycle?

A. Monitor – promote – plan – select

B. Review – reward – plan – punish

✔ **C. Plan – act – monitor – review**

D. Reward – dismiss – rank – recruit

Q19. An employee can choose how to complete an assignment but must explain results and deviations from the agreed target. This illustrates:

✔ **A. Empowerment with accountability**

B. Unstructured appraisal

C. Centralized control

D. Empowerment without accountability

Q20. What best distinguishes performance management from a standalone annual appraisal?

A. It avoids objective-setting

B. It occurs only after a pay decision

✔ **C. It is a continuous process linked to improvement**

D. It relies solely on employee self-ratings

Q21. An annual review identifies a skill gap and sets a development action for the next cycle. Which element of the process is being emphasized?

A. Forced ranking

B. Market pricing

C. Pension administration

✔ **D. Performance renewal and development**

Q22. An organization wants employees to understand why a new performance system is being introduced before launch. Which action is most suitable?

A. Replace manager conversations with a single rating form

B. Launch it quietly and explain it only after complaints

C. Keep criteria confidential from all employees

✔ **D. Use workshops and clear communication about purpose and process**

Q23. A manager records only final results but never clarifies expected standards at the beginning. Which process element is most obviously missing?

A. Market benchmarking

B. Retirement benefits

✔ **C. Performance planning**

D. Employee segmentation

Q24. Which scenario best indicates that feedback is developmental rather than merely punitive?

✔ **A. A manager offers specific guidance and agrees on steps to improve**

B. An employee is ranked without evidence

C. A bonus is withheld without explanation

D. A supervisor lists errors and ends the meeting

Q25. A formal appraisal is conducted every March, but managers discuss neither progress nor difficulties during the year. What is the key limitation?

A. It automatically aligns all goals with strategy

✔ **B. It overemphasizes periodic evaluation and neglects continuous management**

C. It confuses job evaluation with market analysis

D. It provides too much continuous feedback

Q26. Which combination is most likely to make employee goals actionable?

A. A list of rewards with no performance criteria

✔ **B. Clear outcomes, standards, timelines, and required support**

C. A rating scale without role expectations

D. Broad aspirations with no standards

Q27. The key distinction between performance appraisal and performance management is that:

A. Appraisal is more strategic

B. Appraisal includes coaching and development

✔ **C. Appraisal focuses only on evaluation while PM is continuous**

D. PM occurs only after appraisal

Q28. An employee receives a cash bonus; another gets public recognition and a prestigious leadership program. Which statement is most accurate?

A. Both received financial rewards

B. The first received a non-financial reward

✔ **C. The first received a financial reward; the second received primarily non-financial rewards**

D. Neither received a reward

WEEK 2 – STRATEGIC PLANNING, SWOT & SMART GOALS

Q29. A hospital's strategy prioritizes faster rural access, but nurses are assessed only on paperwork completion. What is the primary problem?

A. Too much internal benchmarking

B. Overuse of pension benefits

C. Excessive pay transparency

✔ **D. Poor strategic alignment of performance goals**

Q30. Strategic planning is BEST described as:

A. Focusing primarily on resource allocation

✔ **B. Determining long-term goals and allocating resources to achieve them**

C. An annual budgeting exercise

D. Concerned mainly with operational efficiency

Q31. A company has strong designers and a respected quality reputation. Demand for sustainable clothing is rising, and the company plans to use its strengths to meet that demand. Which SWOT pairing is this?

A. Weakness-opportunity

B. Weakness-threat

✔ **C. Strength-opportunity**

D. Strength-threat

Q32. Outdated machinery combined with technologically advanced new competitors entering the market represents which SWOT pairing?

A. Strength and Opportunity

✔ **B. Threat and Weakness**

C. Opportunity and Weakness

D. Strength and Threat

Q33. A proposed vision reads, 'We will do many good things someday.' What is its main weakness?

A. It links too closely to strategy

B. It is overly specific

✔ **C. It lacks clarity and inspirational direction**

D. It is too measurable

Q34. Which objective best follows SMART goal-setting principles?

A. Improve quality as much as possible

B. Become the best service team

C. Try to reduce delays soon

✔ **D. Increase on-time delivery from 82% to 95% by 31 March**

Q35. A firm announces an innovation strategy but continues to reward employees solely for reducing short-term costs. What is the likely consequence?

A. External threats become internal strengths

B. Reward systems reinforce innovation automatically

✔ **C. The reward and performance systems may work against the strategy**

D. The strategy becomes measurable by default

Q36. Which measure best converts the strategic aim 'improve customer experience' into an assessable objective?

✔ **A. Increase satisfaction survey results from 80% to 90% within 12 months**

B. Ensure staff think positively

C. Make customers happier

D. Encourage better service

Q37. A manager proposes copying a competitor's new product without analysing the firm's capabilities or market conditions. What is the strongest critique?

A. SWOT analysis applies only to employees

B. Product launches cannot form part of strategy

✔ **C. Strategic decisions should follow analysis of internal and external factors**

D. Competitors should never be observed

Q38. In SWOT analysis, 'Opportunities' and 'Threats' are:

A. Internal factors

✔ **B. External factors**

C. Financial factors only

D. HR-specific factors

Q39. A company's departmental targets are measurable, but several targets encourage behaviour contrary to the company's long-term direction. What should be corrected first?

✔ **A. Align the measures with strategy**

B. Stop communicating the vision

C. Replace all goals with equal rewards

D. Remove all measures

Q40. Which sequence is most logical when translating strategy into employee objectives?

✔ **A. Set long-term direction, define goals, then translate them into measurable role objectives**

B. Choose bonuses before identifying goals

C. Rank employees before setting standards

D. Choose ratings, then invent a vision

Q41. Which characteristic makes a performance objective 'Achievable' in the SMART framework?

A. It must be time-bound

✔ **B. It must be realistic given available resources and constraints**

C. It must be quantifiable

D. It must align with market trends

Q42. An automobile company focusing employee reviews on innovation because its strategy is electric vehicle leadership is an example of:

A. Employees being rewarded equally

✔ **B. Employee behaviour being directed toward strategic priorities**

C. Avoiding formal evaluations

D. Unrelated performance criteria

WEEK 3 – PERFORMANCE DIMENSIONS, COMPETENCIES & MEASUREMENT

Q43. An engineer knows the product specifications but struggles to apply them persuasively during a client demonstration. Which performance component is most likely weak?

A. Pension contribution

B. Contextual reward

C. Declarative knowledge

✔ **D. Procedural knowledge**

Q44. An employee completes assigned reports and also voluntarily helps new colleagues and supports teammates during a crisis. The additional activities illustrate:

A. Market analysis

B. Only task performance

C. Job grading

✔ **D. Contextual performance**

Q45. A firm evaluates sales managers only by sales growth and profit, not by how they achieved them. Which measurement approach is being used?

A. Competency approach

✔ **B. Results approach**

C. Trait approach

D. Behaviour approach

Q46. A target says, 'Be more committed to service,' with no indicator or deadline. What is the main defect?

A. It creates an enabling environment

✔ **B. It lacks specificity and measurability**

C. It is necessarily a results measure

D. It is too measurable

Q47. Capabilities essential for performing a job at an acceptable minimum level are called:

A. Differentiating competencies

B. Leadership competencies

✔ **C. Threshold competencies**

D. Strategic competencies

Q48. Two employees meet their task targets, but one routinely shares knowledge and supports team members. Which measure captures this difference?

✔ **A. Contextual-performance evidence**

B. Only the output total

C. Job ranking

D. Compa-ratio

Q49. To evaluate whether supervisors resolve conflict constructively and coach their teams, which approach is most directly suited?

A. Results-only approach

✔ **B. Behaviour approach**

C. Market-rate analysis

D. Pension approach

Q50. A performance system gathers evidence about employees' knowledge, skills, and ability to carry out work-related behaviours. This is closest to a:

A. Defined-benefit scheme

B. Commission-only plan

✔ **C. Competency approach**

D. Forced distribution

Q51. An organization gathers a supervisor's, peers', subordinates', and clients' feedback about a manager. The key strength of this method is that it:

A. Removes the need for development

B. Eliminates all bias

C. Measures only numerical results

✔ **D. Captures performance from multiple perspectives**

Q52. A company has no published standards, but managers are asked to rate employee performance consistently. What should be done before rating?

A. Use only informal impressions

B. Introduce a forced ranking immediately

✔ **C. Define clear performance objectives and standards**

D. Tie every rating to salary without discussion

Q53. An employee is rated highly in communication, punctuality, teamwork, and documentation because one presentation impressed the manager. Which error is most likely?

A. Contrast error

B. Central tendency

✔ **C. Halo error**

D. Primacy error

Q54. Declarative knowledge in performance management refers to:

A. Knowing how to do a task effectively

✔ **B. Knowing facts, concepts, and principles relevant to the job**

C. The ability to motivate others

D. Contextual helping behaviour

Q55. The 360-degree feedback method is named so because it gathers input from:

A. Three different managers

✔ **B. All stakeholders surrounding the employee**

C. Exactly 360 employees

D. Six competency dimensions

Q56. Why are role-specific indicators preferable to a single generic measure for every position?

✔ **A. They reflect the distinct outputs and behaviours relevant to each role**

B. They eliminate the need for standards

C. They ensure employees receive the same rating

D. They prioritize personal popularity over evidence

WEEK 4 – APPRAISAL METHODS, RATING ERRORS & IMPLEMENTATION

Q57. A company requires approximately 10% of staff to be rated outstanding, 70% average, and 20% below average regardless of actual performance. Which method is being used?

A. Critical incident method

✔ **B. Bell Curve / Forced distribution**

C. BARS

D. Management by Objectives

Q58. A manager and employee jointly agree on goals and later assess results against those goals. Which appraisal philosophy is this?

✔ **A. Management by Objectives (MBO)**

B. Forced ranking

C. Graphic rating scale

D. Confidential reporting

Q59. A bank creates concrete behavioural examples for poor, acceptable, and excellent performance on each dimension. Which method is this?

A. Market Rate Analysis

B. Essay Method

✔ **C. Behaviourally Anchored Rating Scales (BARS)**

D. Bell Curve Method

Q60. Candidates for a leadership role complete simulations, role plays, and group discussions observed by trained assessors. Which technique is being used?

✔ **A. Assessment Centre Method**

B. Central tendency rating

C. Compa-ratio analysis

D. Job ranking only

Q61. A supervisor gives nearly everyone an average score to avoid difficult conversations, including exceptional and poor performers. Which error is this?

A. Recency error

B. Leniency error

✔ **C. Central tendency error**

D. Halo error

Q62. A supervisor inflates ratings for most employees regardless of evidence. Which rating error is most evident?

A. Contrast error

B. Primacy error

C. Strictness error

✔ **D. Leniency error**

Q63. An assessor allows a very recent incident to dominate the entire annual rating. This is:

✔ **A. Recency error**

B. Central tendency error

C. Primacy error

D. Halo error

Q64. A manager compares each employee with the last person assessed rather than using common standards. Which error may result?

✔ **A. Contrast error**

B. Leniency error

C. Central tendency error

D. Primacy error

Q65. An employee's annual targets are ignored in the final review, which is based on the manager's general impression. Which implementation flaw is illustrated?

A. Effective strategic alignment

B. Excessive transparency

✔ **C. Disconnection between goal setting and evaluation**

D. Too much job analysis

Q66. Which method is most directly based on recording specific examples of effective or ineffective job behaviour?

✔ **A. Critical Incident Method**

B. Broad-banding

C. Point-Factor Method

D. Cafeteria Plan

Q67. Why might a well-designed performance system still fail after launch?

A. It uses any measurable objective

B. It always includes too much feedback

✔ **C. Employees do not understand expectations and departments apply inconsistent criteria**

D. Managers communicate the system too clearly

Q68. What is the strongest reason to communicate a new appraisal system before putting it into operation?

A. Communication removes the need for evidence

✔ **B. It builds understanding, trust, and acceptance**

C. It makes objective-setting unnecessary

D. It guarantees everyone receives a high rating

Q69. MBO (Management by Objectives) was originally proposed by:

A. Frederick Herzberg

✔ **B. Peter Drucker**

C. Douglas McGregor

D. Victor Vroom

Q70. A major criticism of the Bell Curve (Forced Distribution) Method is that it:

A. Requires too many raters

B. Focuses only on non-financial outcomes

✔ **C. May force artificial rankings that do not reflect actual performance distribution**

D. Is too simple to administer

WEEK 5 – DEVELOPMENT, COACHING, TEAMS & RECOGNITION

Q71. A performance meeting discusses an employee's future career aspirations, skills to build, and experiences needed for greater responsibility. Which activity is this?

✔ **A. Personal Development Planning**

B. Forced distribution

C. Commission calculation

D. Job classification

Q72. A manager meets a newly promoted supervisor weekly to discuss real problems, provide feedback, and improve on-the-job leadership. This is:

A. Market pricing

B. Forced ranking

C. Job evaluation

✔ **D. Coaching**

Q73. A senior colleague explains experience, offers advice, and gradually increases a new employee's confidence and responsibility. What role is most directly described?

✔ **A. Coach**

B. Compensation specialist

C. Recruiter

D. Auditor

Q74. Employees from finance, production, logistics, and marketing are temporarily assembled to deliver a six-month initiative and then return to their departments. This is a:

✔ **A. Project team**

B. Service team

C. Self-managed team

D. Permanent work team

Q75. Every team member receives an identical bonus even when contributions differ, and some reduce their effort. This behaviour is known as:

A. Competency mapping

✔ **B. Social loafing**

C. Job enlargement

D. Strategic dialogue

Q76. A project bonus is split between team results and each member's contribution. What is the main design advantage?

A. It discourages cooperation

✔ **B. It balances collaboration and individual accountability**

C. It eliminates the need for goals

D. It removes all performance differences

Q77. A manager publicly recognizes an employee's successful handling of a difficult client and offers a high-visibility assignment. This most directly provides:

✔ **A. Non-financial recognition and development opportunity**

B. A job-evaluation score

C. Only a pension benefit

D. A market supplement

Q78. Why can equal team bonuses sometimes be viewed as unfair by high contributors?

A. Bonuses must always be seniority-based

B. Teamwork should never be rewarded

✔ **C. The reward may not reflect differences in individual contribution**

D. Successful projects have no value

Q79. A manager asking 'Where do you see yourself in 5 years?' and 'What capabilities do you want to develop?' is conducting a:

A. Corrective feedback session

B. Technical review meeting

C. Disciplinary interview

✔ **D. Strategic dialogue**

Q80. A development plan identifies a skill gap but no action, owner, or follow-up date. What is the main weakness?

A. It contains too many measurable targets

✔ **B. It lacks actionable development steps and follow-up**

C. It overuses team reward

D. It is too evidence-based

Q81. Which of the following BEST prevents social loafing in team reward systems?

A. Paying all team members equally

✔ **B. Including an individual contribution component in the reward**

C. Eliminating bonuses altogether

D. Reducing team size to two members

Q82. Personal Development Planning (PDP) primarily focuses on:

A. Immediate salary revision

B. Identifying disciplinary actions

✔ **C. Future growth, skill development, and career aspirations**

D. Calculating retirement benefits

Q83. An organization assigns an employee a stretch task and then schedules regular feedback to build a capability identified in the development discussion. Which purpose is most directly served?

A. External salary benchmarking

B. Job classification

C. Forced ranking

✔ **D. Skill development through coaching**

Q84. An employee receiving public CEO praise, newsletter features, and an opportunity to present best practices has primarily received:

A. Direct financial reward

B. Deferred compensation

✔ **C. Non-financial reward**

D. Retirement benefit

WEEK 6 – TOTAL REWARDS, FAIRNESS & ENGAGEMENT

Q85. An employee receives salary, bonus, insurance, flexibility, learning opportunities, and recognition. Which philosophy best describes this package?

A. Piece-rate system

B. Forced distribution

✔ **C. Total Reward approach**

D. Job-ranking method

Q86. An employee stays with an employer despite a slightly higher external salary because of meaningful work, flexibility, supportive culture, and growth. These are best described as:

A. Pension multipliers

B. Only direct financial rewards

C. Job evaluation points

✔ **D. Relational rewards**

Q87. A company ties long-term incentives and recognition to its innovation strategy. This is an example of:

A. Seniority-only pay

B. Confidential reporting

C. Job classification

✔ **D. Strategic Reward Management**

Q88. Two jobs with similar responsibilities and effort receive substantially different pay without a clear reason. Which principle is most directly questioned?

A. Efficiency wage

B. Segmentation

✔ **C. Equity**

D. Broad-banding

Q89. Employees understand how bonus decisions are made and how to appeal them. Which feature is most visible?

A. Forced distribution

✔ **B. Transparency**

C. Pay secrecy

D. Confidentiality

Q90. Promotion decisions follow documented rules applied consistently to all employees. People who are not promoted still believe the process was fair. This reflects:

A. Moral hazard

✔ **B. Procedural justice**

C. Piece-rate pay

D. Distributive justice only

Q91. An employee receives an outcome they consider disappointing but believes the decision process was consistent and unbiased. Which distinction is important?

A. Transparency requires equal pay for all jobs

B. Fair process always guarantees a preferred outcome

C. Equity means the outcome must be identical

✔ **D. Procedural fairness can be perceived separately from the outcome**

Q92. An employee is satisfied with pay but frustrated by limited training, learning, and career progression. In the Hay Group model, which pillar is weakest?

A. Work-life balance

B. Tangible rewards

✔ **C. Future growth opportunity**

D. Enabling environment

Q93. A company gives staff safe working conditions, effective tools, and information needed to do their jobs. Which Hay Group pillar is emphasized?

A. Tangible rewards

B. Future growth

C. Tournament rewards

✔ **D. Enabling environment**

Q94. A manager argues that fairness means giving everyone exactly the same salary regardless of role or contribution. What is the best response?

✔ **A. Fairness may require rewards to reflect contribution and performance**

B. Performance should never influence rewards

C. Equality and equity are always identical

D. Pay decisions should be hidden

Q95. A specialist is assigned overseas for two years and receives relocation, housing, and education support in addition to salary. Which area is involved?

✔ **A. International reward management**

B. Cafeteria plan only

C. Central tendency

D. Job ranking

Q96. Employees view a pay outcome as fair because it reflects contribution, and they also trust the consistent process used to decide it. Which combination is most relevant?

A. Pay posture and compa-ratio

B. Moral hazard and tournament theory

✔ **C. Equity and procedural justice**

D. Task and contextual performance

Q97. Which of the following BEST describes distributive justice in reward management?

A. Fairness in the procedures used to make reward decisions

✔ **B. Fairness in the actual reward amounts relative to contribution**

C. Equal pay for all employees regardless of performance

D. Transparency about bonus calculation methods

Q98. Strategic Reward Management ensures that rewards are aligned with:

A. Only statutory compliance requirements

✔ **B. The organization's long-term business goals and people strategy**

C. Competitors' pay structures

D. Individual employee preferences exclusively

WEEK 7 – INCENTIVE PLANS & REWARD THEORIES

Q99. A company pays above-market wages and later sees lower turnover, higher productivity, and less absenteeism. Which theory best explains the intended effect?

A. Classical Economic Theory

✔ **B. Efficiency Wage Theory**

C. Tournament Theory

D. Agency Theory

Q100. Employees share in savings generated by suggestions that improve productivity and reduce waste. Which plan is the closest match?

✔ **A. Scanlon Plan**

B. ESOP only

C. Defined-benefit plan

D. Cafeteria plan

Q101. Workers receive different piece rates depending on whether they meet a defined production standard. Which incentive system is most closely associated?

✔ **A. Taylor's Differential Piece Rate System**

B. Wellness program

C. Point-Factor Method

D. Broad-banding

Q102. A startup grants stock options that vest after several years of service. The intended purpose is primarily to:

A. Avoid measuring performance forever

✔ **B. Create employee ownership and longer-term commitment**

C. Replace all fixed salary immediately

D. Provide short-term meal allowances

Q103. An employee's extra payment depends on reaching specified performance targets. Which reward arrangement does this describe?

A. Fixed pay only

B. Seniority-only pay

✔ **C. Contingent pay**

D. Equal reward regardless of results

Q104. Both employer and employee make contributions that accumulate toward a retirement benefit. Which option best matches?

✔ **A. Provident Fund**

B. Recognition award

C. Performance bonus

D. Stock option

Q105. A manager earns incentives only when predefined quality, client satisfaction, and completion targets are met. Which principle is most evident?

A. Seniority-only reward

✔ **B. Performance-related pay**

C. Equal pay regardless of result

D. Fixed compensation

Q106. An employee earns more because specialized certifications and analytical skills increase productivity. Which theory best explains the role of skill investment?

A. Agency Theory

B. Reinforcement Theory

C. Tournament Theory

✔ **D. Human Capital Theory**

Q107. Staff receive a fixed benefits budget and choose between health cover, childcare, education assistance, or travel benefits. This is a:

A. Bell Curve

B. Scanlon Plan

✔ **C. Cafeteria / Flex-Fund Plan**

D. Taylor differential piece rate

Q108. An employer introduces fitness memberships, counselling, and preventive health checks to address employee stress. This is a:

A. Job evaluation method

B. Contingent pay plan

✔ **C. Wellness program**

D. Market supplement

Q109. Which is the most likely risk of making production quantity the only determinant of earnings?

✔ **A. Workers may prioritize output at the expense of quality**

B. Quality automatically improves

C. Machine breakdowns cease to matter

D. All employees become equally productive

Q110. ESOPs (Employee Stock Ownership Plans) primarily align employee interests with:

A. Trade unions

B. Government regulators

✔ **C. Long-term company shareholder value**

D. Competitor benchmarks

Q111. The Halsey Incentive Plan differs from Taylor's Piece Rate in that it:

A. Pays entirely on output with no minimum guarantee

✔ **B. Shares time saved between the worker and employer**

C. Links pay to educational qualifications

D. Applies only to managerial roles

Q112. The Gantt Task and Bonus Plan rewards workers who meet or exceed standard output with:

A. A flat piece rate only

✔ **B. A higher piece rate plus a bonus percentage on top**

C. Only time-based wages regardless of output

D. Stock options vesting after one year

WEEK 8 – JOB EVALUATION & PAY STRUCTURES

Q113. Two jobs with very different responsibility and financial accountability are placed in the same grade solely because their titles sound similar. What fundamental step has been missed?

A. Calculating a bonus tax

B. Applying a recency correction

C. Introducing a wellness program

✔ **D. Evaluating the relative worth of the jobs**

Q114. Wages for a hard-to-find occupation rise because competing employers are recruiting aggressively from the same labour pool. Which explanation matches?

A. Kantian ethics

B. Agency Theory only

C. Central Tendency Theory

✔ **D. Classical Economic Theory**

Q115. An HR team weights knowledge, problem-solving, responsibility, and working conditions, then scores each job. Which method is this?

A. Simple ranking

✔ **B. Point-Factor Method**

C. Graphic rating scale

D. Assessment centre

Q116. Shareholders introduce stock-based executive compensation to discourage leaders from focusing only on personal short-term gains. Which theory supports the design?

A. Human Capital Theory only

B. Efficiency Wage Theory

C. Classical Economic Theory

✔ **D. Agency Theory**

Q117. Before scoring jobs with a point-factor system, why must an organization define compensable factors?

A. They replace market data entirely

✔ **B. They establish the dimensions against which job value will be assessed**

C. They determine every employee's annual bonus directly

D. They eliminate the need for job descriptions

Q118. A newly created role is compared with existing roles already evaluated internally. Which technique is being used?

A. Critical incident method

B. Forced distribution

C. External market pricing only

✔ **D. Internal benchmarking**

Q119. An organization replaces 18 narrow grades with five broad salary bands to give managers greater flexibility. What structure is this?

A. Piece-rate structure

B. Commission-only structure

C. Narrow-graded structure

✔ **D. Broad-banded structure**

Q120. A compensation survey shows that software architects are paid below the industry median. HR proposes adjusting salary ranges. This is:

✔ **A. Market Rate Analysis**

B. Job rotation

C. Performance execution

D. Halo correction

Q121. A job is matched to standardized grade descriptions based on its responsibilities and required expertise. Which method is closest?

A. Bell Curve Method

B. Role-to-role matching only

C. Forced ranking

✔ **D. Role-to-Grade Analytical Matching**

Q122. Why should survey jobs be compared using duties, responsibilities, and reporting relationships rather than titles alone?

A. Descriptions remove the need to check market data

B. Titles determine performance ratings

C. Titles have exactly the same meaning in every organization

✔ **D. Job descriptions give a more accurate basis for comparison**

Q123. The Job Ranking method of job evaluation is BEST described as:

A. Assigning point scores to compensable factors

✔ **B. Ranking jobs from highest to lowest worth in a non-analytical way**

C. Grouping jobs into predetermined grades

D. Comparing jobs against market benchmarks

Q124. A pay structure with many narrow grades (e.g., 20+ grades) typically offers:

A. High flexibility for lateral moves

✔ **B. Clear promotion steps and defined career progression**

C. Minimal administrative burden

D. Broad ranges that accommodate diverse roles

Q125. A point-factor evaluation assigns values to job factors and combines them into a total score. What is this score intended to indicate?

A. The employee's personality

✔ **B. The relative worth of the job within the evaluation framework**

C. The latest month's sales result

D. The employee's retirement age

Q126. A 'Job Family Structure' groups jobs with similar characteristics into families, each with its own pay range. The PRIMARY advantage of this over a single universal grading structure is:

A. It eliminates the need for market surveys

✔ **B. It allows pay ranges to better reflect the distinct market rates and career paths of different job families**

C. It guarantees equal pay across all job families

D. It removes the need for job evaluation entirely

WEEK 9 – EXECUTIVE REWARDS, INCENTIVE RISKS & KNOWLEDGE WORKERS

Q127. A board links substantial CEO pay to long-term stock performance to reduce focus on short-term profit at the expense of sustainability. Which theory most strongly supports this?

A. Classical Economic Theory only

✔ **B. Agency Theory**

C. Central Tendency Theory

D. Procedural justice only

Q128. Senior executives compete for a CEO role because the winner receives a very large compensation increase. Which theory best explains the motivational structure?

A. Human Capital Theory

B. Kantian ethics

C. Efficiency Wage Theory

✔ **D. Tournament Theory**

Q129. Which component of a senior executive's package most directly links personal wealth to long-term shareholder value?

✔ **A. Stock options**

B. Fixed meal benefit

C. Basic salary

D. Routine allowance

Q130. A CEO pursues high-risk investments because the immediate bonus is based entirely on short-term profit, while later losses fall on the company. What concern does this illustrate?

A. Compa-ratio

B. Broad-banding

C. Procedural justice

✔ **D. Moral hazard**

Q131. A sales representative is paid only a percentage of the value of sales and receives no fixed salary. Which arrangement is used?

A. Salary plus bonus

B. Profit-sharing plan

C. Defined-benefit plan

✔ **D. Commission-only plan**

Q132. A call centre rewards only the number of calls handled. Employees shorten conversations and customer satisfaction declines. What lesson is clearest?

A. Customer outcomes should never be measured

✔ **B. Reward measures can unintentionally encourage undesirable behaviour**

C. Quantity targets always capture total performance

D. Fixed salaries eliminate every service issue

Q133. A knowledge worker values intellectual freedom, challenging assignments, and opportunities to learn more than piece-rate payments. Which motivators are most relevant?

✔ **A. Autonomy and personal growth**

B. Attendance bonuses only

C. Fixed output quotas only

D. Physical-effort incentives

Q134. A payment-by-results scheme increases output but also increases defective products. What is the common drawback illustrated?

A. Excessive pension security

✔ **B. Quality deterioration due to output focus**

C. Guaranteed improvement in teamwork

D. Reduced transparency in every case

Q135. Workers miss targets because a machine breakdown and shortage of raw materials reduce output despite diligent effort. Why might an output-based reward be viewed as unfair?

A. Workers should never have performance targets

✔ **B. Rewards are influenced by factors beyond employee control**

C. The company has eliminated all external risks

D. Output-based rewards always pay the same amount

Q136. A bank wants relationship managers to increase sales without damaging customer satisfaction or long-term client relationships. Which plan is best?

✔ **A. Salary plus bonus tied to both sales and customer satisfaction**

B. Commission based only on sales volume

C. Fixed salary with no performance measures

D. Seniority increases only

Q137. What is a central design safeguard when introducing executive incentives?

A. Reward short-term outcomes only

✔ **B. Consider longer-term outcomes and the risks created by the chosen measures**

C. Avoid defining performance conditions

D. Make rewards unrelated to company objectives

Q138. Agency Theory primarily addresses the conflict of interest between:

A. Employees and trade unions

✔ **B. Principals (shareholders) and agents (executives)**

C. HR department and line managers

D. Government regulators and corporations

Q139. The concept of 'Moral Hazard' in executive reward management occurs when:

A. An executive refuses a performance bonus

✔ **B. An executive takes excessive risks because the downside is borne by others**

C. Pay transparency is introduced in an organization

D. Stock options are granted to all employees

WEEK 10 – PUBLIC-SECTOR PAY & RETIREMENT BENEFITS

Q140. The minimum basic pay recommended under the 7th Central Pay Commission of India was:

A. Rs. 25,000

B. Rs. 21,000

C. Rs. 15,000

✔ **D. Rs. 18,000**

Q141. Multiplying an employee's existing pay by a uniform factor to place it in the new 7th CPC pay matrix is called the:

A. Pension Multiplier

B. Risk and Hardship Index

✔ **C. Fitment Factor**

D. Dearness Allowance

Q142. Under Plan A, the pension is predetermined by service and final salary. Under Plan B, retirement income depends on contributions and investment returns. Plan A is a:

A. Cafeteria benefits plan

✔ **B. Defined Benefit Scheme**

C. Market-linked contribution account

D. Defined Contribution Scheme

Q143. The government's employer contribution to NPS accounts was increased TO 14% FROM:

A. 8%

✔ **B. 10%**

C. 12%

D. 15%

Q144. The approved annual increment rate under the 7th Pay Commission is:

A. 2%

B. 2.5%

C. 4%

✔ **D. 3%**

Q145. Under the Atal Pension Yojana (APY), the MAXIMUM assured monthly pension available is:

A. Rs. 2,000

B. Rs. 3,000

C. Rs. 4,000

✔ **D. Rs. 5,000**

Q146. Special allowances for employees in dangerous or difficult working conditions (under 7th CPC) are governed by the:

A. Pay Rationalization Matrix

✔ **B. Risk and Hardship Matrix**

C. Compensation Adjustment Grid

D. Occupational Exposure Index

Q147. The regulatory authority that supervises pension fund managers and NPS compliance is:

A. RBI

B. SEBI

C. IRDAI

✔ **D. PFRDA**

Q148. An NPS account that allows flexible deposits and withdrawals for short-term financial needs is the:

A. EPF Account

B. PRAN Plus Account

✔ **C. NPS Tier II Account**

D. CGEGIS Account

Q149. The CORRECT distinction between defined benefit and defined contribution pension plans is:

A. Defined contribution plans guarantee pension; defined benefit depends on market performance

B. Both plans provide identical benefits

✔ **C. Defined benefit plans guarantee pension; defined contribution depends on contributions and investment returns**

D. Only government employees can join defined contribution plans

Q150. NPS Tier I account is primarily characterized by:

A. Free withdrawal at any time

✔ **B. Restrictions on withdrawal until retirement**

C. Investment only in government bonds

D. No employer contribution

Q151. Dearness Allowance (DA) in government pay is primarily linked to:

A. Employee seniority

✔ **B. Inflation and changes in the Consumer Price Index**

C. Annual performance ratings

D. Geographic posting location

Q152. Why is it important to distinguish a pension scheme's guaranteed benefit from a contribution-based account?

A. They have identical risk allocation

✔ **B. The employee's retirement outcome and exposure to investment performance differ**

C. It determines the employee's appraisal rating

D. It eliminates the need to contribute

WEEK 11 – REWARD-SYSTEM DESIGN & REVIEW

Q153. A reward system includes salary, benefits, flexibility, recognition, and career development rather than focusing on pay increases alone. Which philosophy is this?

✔ **A. Total Rewards Approach**

B. Job Evaluation Approach

C. Broad-Banding Approach

D. Market Pricing Approach

Q154. Why should an organization periodically review a reward system instead of leaving it unchanged for a decade?

A. Employee preferences never change

B. Reviewing pay eliminates strategy

✔ **C. Reward systems must evolve with business strategy and workforce needs**

D. The law requires every reward system to change each year

Q155. Before deciding pay ranges, HR identifies what the reward system should accomplish. Which development step is this?

A. Market benchmarking

B. Pilot testing

C. Red-circling

✔ **D. Setting reward objectives**

Q156. An organization compares its reward practices with leading industry organizations to identify gaps. Which approach is being used?

A. Forced distribution

✔ **B. Evidence-based reward development / benchmarking**

C. Central tendency

D. Job rotation

Q157. Before a full rollout, HR tests a redesigned reward system in one department, gathers feedback, and makes adjustments. This is:

✔ **A. Pilot testing**

B. Job classification

C. Red-circling

D. Commission-only reward

Q158. An employee's salary is above the maximum of the assigned pay range, so future increases are frozen while the range catches up. Which practice is this?

A. Green-circling

B. Internal benchmarking

✔ **C. Red-circling**

D. Broad-banding

Q159. A market supplement was introduced during a talent shortage. The market later stabilizes. What should the employer consider?

✔ **A. Review and potentially remove it if no longer justified**

B. Keep it forever regardless of circumstances

C. Convert it into a performance rating

D. Automatically double it

Q160. Sales staff receive commission, developers receive innovation bonuses, and executives receive long-term incentives. Which principle is this?

✔ **A. Segmentation**

B. Equal pay for all roles

C. Job ranking

D. Central tendency

Q161. An employee earns Rs. 72,000 monthly and the salary grade midpoint is Rs. 60,000. What does the compa-ratio indicate?

A. The employee has reached retirement age

✔ **B. The employee is above the policy midpoint**

C. The employee is exactly at the midpoint

D. The employee is below the midpoint

Q162. An organization deliberately pays approximately 10% above the industry average to attract and retain scarce talent. Which concept is being described?

A. Compa-ratio

✔ **B. Pay posture**

C. Red-circling

D. Job evaluation

Q163. Green-Circling in pay management refers to a situation where:

A. An employee's pay is above the maximum of the grade

✔ **B. An employee's pay is below the minimum of the grade**

C. An employee receives a market supplement

D. All employees receive the same percentage increment

Q164. Pay Compression occurs when:

A. Senior employees earn significantly more than juniors

✔ **B. Pay differences between job levels or seniority are very small**

C. The pay range for a grade is very wide

D. Annual increments are frozen for all employees

Q165. Which sequence is most sensible when developing a reward system?

A. Make benefits identical without evaluating employee needs

B. Choose salary ranges before knowing the purpose

✔ **C. Set objectives, gather evidence/benchmark, design and pilot, then review**

D. Roll out immediately, define goals later, then ignore feedback

Q166. A 'Spot Salary' pay structure assigns each job a single fixed pay rate with no range or grade band. The MAIN drawback of this approach compared to a range-based structure is that:

A. It gives managers too much flexibility in pay decisions

✔ **B. It offers no progression within role to reward growing competence or performance**

C. It eliminates the need for job evaluation

D. It automatically aligns pay with market rates

WEEK 12 – ETHICS, BIAS & FAIR APPRAISAL

Q167. An HR director faces pressure to hire a relative despite weak interview performance. What is the primary ethical issue?

A. Job classification

B. Broad-banding

C. Market-rate analysis

✔ **D. Nepotism and conflict of interest**

Q168. A university cannot significantly increase salaries, so it offers research grants, leadership opportunities, recognition, and participation in decisions. What is the principal aim?

A. Reduce academic standards

B. Replace performance appraisal permanently

✔ **C. Increase engagement through non-financial rewards**

D. Eliminate every concern about pay

Q169. An employee meets a target by misleading customers, while another misses it but acts honestly. Under the Kantian approach, which employee's actions are favoured?

A. The one who achieves the target by any means

✔ **B. The one guided by ethical intention and duty**

C. Both are identical because only output matters

D. Neither, because intentions are irrelevant

Q170. A supervisor rates an employee highly in every dimension because the employee is confident and articulate, despite little evidence about other tasks. Why is this problematic?

✔ **A. Subjective impression may create appraisal bias**

B. It relies on employee feedback

C. It uses too much objective evidence

D. It measures too many results

Q171. One nurse's contribution is comforting patients; another's is completing measurable tasks quickly. Why can a fair overall comparison be difficult?

A. All work should be evaluated only by quantity

B. Performance appraisal has no purpose

C. Non-measurable work has no value

✔ **D. Human performance has dimensions that may be difficult to measure objectively**

Q172. Research scientists and sales staff are rated using very different methods, then compared directly for promotion without considering those differences. Which ethical concern is most likely?

A. Reduced subjectivity

✔ **B. Unfair comparisons across employees**

C. Improved procedural justice

D. Higher quality of evidence

Q173. After a poor rating, an employee cannot see the evidence or challenge factual errors because management offers no appeal. Which safeguard is missing?

✔ **A. Grievance and review mechanism**

B. Pay posture

C. Market benchmarking

D. Point-factor evaluation

Q174. A company asks managers, employees, and union representatives to help shape performance criteria before implementation. Which principle does this illustrate?

A. Forced distribution

B. Centralized authority

C. Confidential appraisal

✔ **D. Stakeholder involvement**

Q175. Which indicator would be LEAST appropriate as a primary measure of university faculty performance?

A. Student feedback

B. Teaching effectiveness measures

✔ **C. Number of personal complaints made by colleagues**

D. Research publications

Q176. A call centre rewards employees only for calls handled per day. Employees end calls quickly and customer satisfaction declines. What is the main ethical or measurement concern?

A. Customer satisfaction should not matter

✔ **B. A single quantitative metric can ignore important qualitative outcomes**

C. No employee should be rewarded

D. Quantitative measures are always superior

Q177. A manager has a personal relationship with one appraisal candidate and does not disclose it, despite participating in the decision. What is the best ethical response?

A. Increase the candidate's score to avoid disagreement

B. Continue without documentation

C. Remove all performance standards

✔ **D. Disclose the conflict and use an impartial review process**

Q178. Kantian ethics in reward management emphasizes:

A. Consequentialist outcomes only

✔ **B. Acting out of duty and moral principle, regardless of outcome**

C. Maximizing shareholder value

D. Following statutory minimums exactly

Q179. Which of the following BEST prevents ethical bias in performance appraisals?

A. Having a single assessor for all employees

B. Keeping all appraisal results confidential

✔ **C. Using structured, criteria-based assessment with transparency and appeal mechanisms**

D. Evaluating employees only on financial metrics

Q180. An organization implements a 'cooling-off period' that prevents appraisers from rating employees immediately after a significant incident, positive or negative. This policy primarily aims to reduce:

A. The overall cost of the appraisal process

✔ **B. Both recency error and primacy error that distort annual ratings**

C. The need for 360-degree feedback

D. Procedural justice concerns about pay